

Bill Spencer

From: Adam Fyall
Sent: Friday, December 2, 2016 9:46 AM
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Cc: Adam Morasch; Tammy McKeirnan; Sam Schneider; Erhiza Rivera; Mary Christen; Shyanne Faulconer; Paul Schut
Subject: PILT 2017 -- Dept of Energy Request to Renegotiate Terms
Attachments: Department of Energy.pdf

Hi everyone,

At our briefing earlier this week, and in separate conversations I have had with some of you, I have let you know that a letter would be forthcoming from the Department of Energy requesting a conversation with us, the County, to “pursue an update to the Settlement Agreement that was signed in 1996.” That letter has arrived and is attached.

I am aware through conversations with DOE staff in recent weeks that they are looking to roll-back the total amount of the annual PILT payment, and more than that, index the future annual increases to a fixed number. I am aware through these conversations that the numbers they are looking at are \$4 - 4.5 million/year, and 2.0 – 3.0%/year. So for example, perhaps the 2017 amount would be set back to \$4.5 million (roughly the amount paid in 2013), and the annual increase pegged to 2.0% (as opposed to variable annual assessments).

I would appreciate it if you do not share these details with media or other folks outside of our discussions at this time.

From DOE’s perspective, the reasons for this request are self-evident, given what we have been going through over the past year in regards to PILT. We can discuss the merits of those reasons and DOE’s budgeting priorities, but we also know that collecting our 2015 and 2016 PILT has been difficult, and there is no reason to believe that 2017 is going to be any different under the existing circumstances.

Benton County elected officials and staff need to discuss the legal and policy ramifications of this request and respond to DOE about what kind of conversation we are willing to have with them, if we are willing to have one at all. For those of you who are our stakeholders – recipients of this PILT money for important uses within your jurisdiction, it would be useful for our Commissioners to hear from you, to understand the importance of this PILT money to your organization, and to get at least an initial sense about how DOE’s request might affect your operations and future budgeting.

I will be out of the office all of next week, but upon my return I will be setting-up some discussions among our County personnel on this matter so that we can respond to DOE’s request promptly. In the meantime, you can route any correspondence on this matter through me or directly to Commissioners.

2016 Status..... Just as a quick update, Benton County has received 20% of the PILT amount due for the 2016 tax year. I am told that DOE’s reprogramming request to pay the remainder of the balance has cleared all of the hurdles up to its final sign-offs at House Appropriations Committee and Senate Appropriations Committee. I will keep you apprised of updates as I have them.

Let me know if you have further questions, and thank you for all of your participation in these discussions and your continued interest in the matter.

Adam